Project Horizon: Strategic Alternatives for Zoom (ZM)

Discussion materials | October 13, 2026

Strictly private and confidential

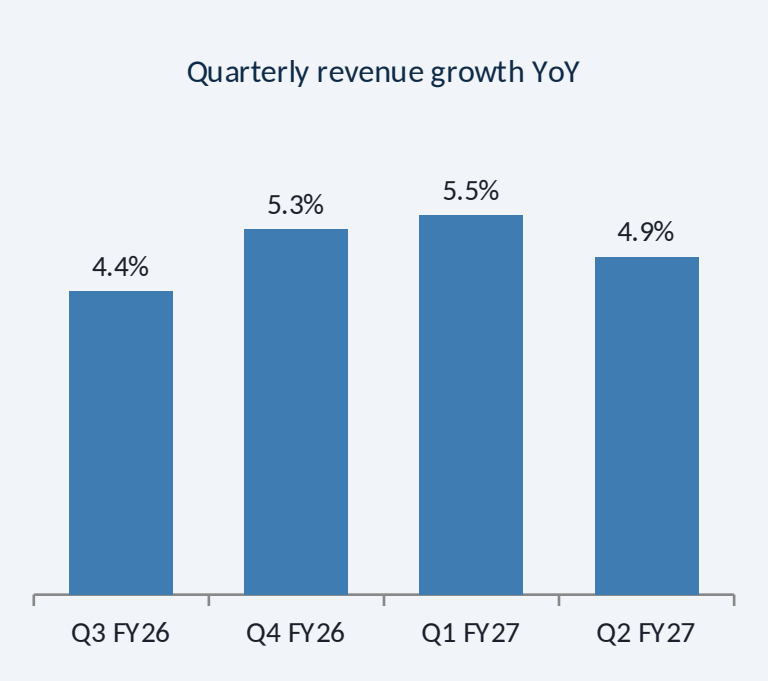
Situation overview: Zoom's growth is accelerating

1. **Scale**
   Market cap of $35.8B with net cash of $7,250MM and no funded debt

2. **Profitability**
   LTM revenue of $4,494MM at an 85.9% gross margin and $1,316MM of EBITDA

3. **Capital return**
   LTM free cash flow of $1,926MM funds buybacks ($1,460MM repurchased over the LTM period)

4. **Growth**
   Revenue growth YoY of 5.5% in Q1 FY27 and 4.9% in Q2 FY27



Source: Company filings (Form 10-Q for the quarter ended July 31, 2026); market data as of October 13, 2026. LTM = four quarters ended July 31, 2026.

Key financials: cash generative, fortress balance sheet

$4,494MM
LTM revenue

$1,316MM
LTM EBITDA (29.3% margin)

$1,926MM
LTM FCF (42.9% margin)

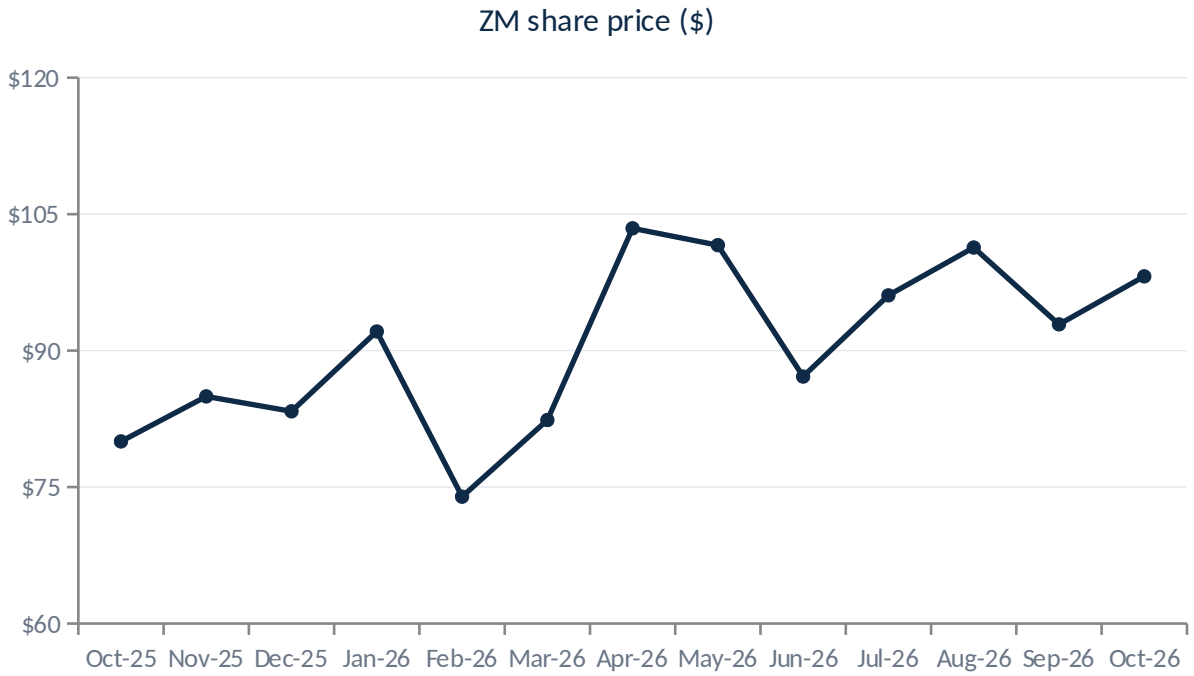
$7,250MM
Net cash

LTM P&L summary ($MM)	Amount	Margin
Revenue	4,494	—
Gross profit	3,860	85.9%
Operating income (EBIT)	1,185	26.4%
EBITDA	**1,316**	**29.3%**
Free cash flow	1,926	42.9%

Net cash build ($MM)	7/31/2026
Cash & cash equivalents	932
Marketable securities	6,138
Less: total debt	—
Net cash	**7,250**

Source: Company filings. LTM = four quarters ended July 31, 2026. EBITDA = GAAP operating income + depreciation & amortization. FCF = operating cash flow − capex.

Share price performance: last twelve months



$98.16
Current share price

+27.2%
1-year share price return

$114.74 / $70.70
52-week high / low

$35.8B
Market capitalization

Source: Market data, 10/13/2025 – 10/13/2026 (last weekly close of each month). 1-year return vs. 10/13/2025 close ($80.01).

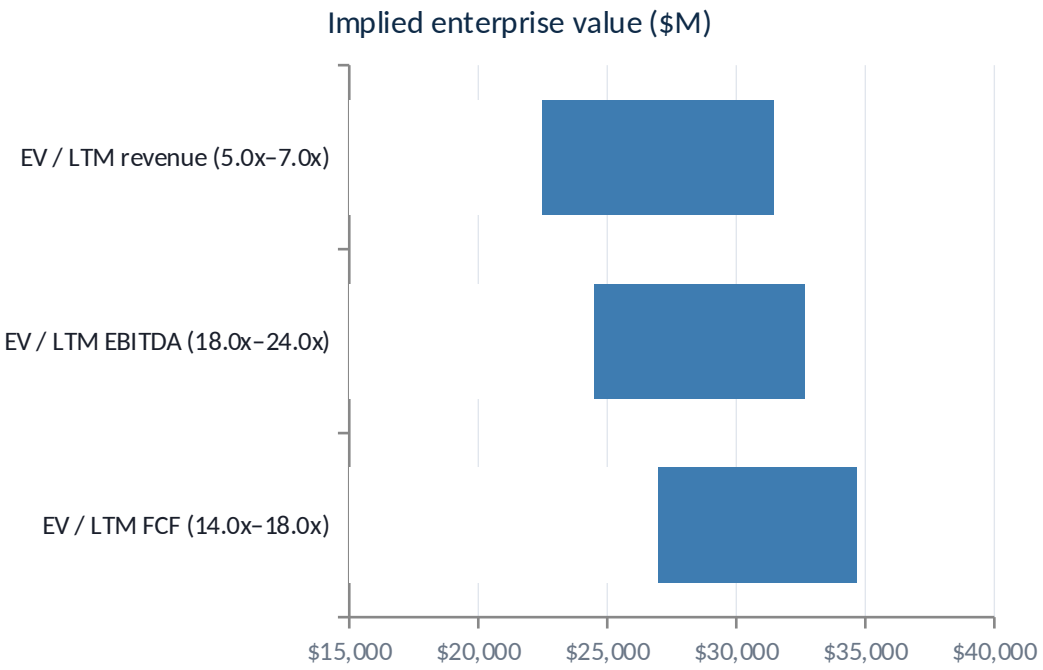
Trading comparables: video and communications peers

Company	Market cap ($MM)	EV ($MM)	LTM revenue ($MM)	Gross margin	EBIT margin	EV / LTM rev.	EV / LTM EBIT
Zoom (ZM)	**35,802**	**28,552**	**4,494**	**85.9%**	**26.4%**	**6.4x**	**24.1x**
Microsoft (MSFT)	4,035,413	3,998,864	331,839	67.9%	46.8%	12.1x	25.8x
Alphabet (GOOGL)	4,326,706	4,184,396	445,867	60.9%	33.1%	9.4x	28.3x
Cisco (CSCO)	453,673	467,288	63,325	64.5%	24.3%	7.4x	30.4x
RingCentral (RNG)	6,571	7,580	2,584	71.8%	6.7%	2.9x	43.7x
Peer median				**66.2%**	**28.7%**	**8.4x**	**29.4x**

Takeaway: Zoom's best-in-class margins support a premium to peer multiples, while its net cash position adds balance-sheet optionality for any buyer.

Source: Company filings; market data as of 13-Oct-2026. LTM through each company's latest reported quarter. EV = market cap + debt − cash and short-term investments.

Illustrative valuation range



Methodology	Metric ($M)	Implied EV ($M)
EV / LTM revenue	4,494	22,470 – 31,458
EV / LTM EBITDA	1,361	24,498 – 32,664
EV / LTM FCF	1,926	26,964 – 34,668
Current EV		**28,552**

Multiple ranges are illustrative and informed by the trading comparables; precedent transactions to be layered in during the next phase.

Note: Illustrative only. LTM = four quarters ended July 31, 2026. Current EV based on market data as of October 13, 2026.

Potential Buyer Univrese

Strategic buyers

- Microsoft – Teams adjacency; contact center and SMB reach
- Alphabet – Workspace and Google Meet consolidation
- Cisco – Webex scale and collaboration hardware attach
- Salesforce – Customer engagement and Slack integration
- Oracle – Cloud infrastructure and enterprise apps cross-sell

Financial sponsors

- Thoma Bravo – Deep software take-private experience
- Silver Lake – Large-cap technology buyout capacity
- Vista Equity Partners – Enterprise software operating playbook
- KKR – Scale capital; club-deal capability

Next steps

2026-10-20

Board discussion

Review strategic alternatives and confirm process objectives

2026-10-27

Preparation

Finalize buyer list, teaser and confidentiality agreements

2026-11-09

Outreach

Launch targeted outreach to strategic and sponsor parties

2026-12-07

First-round bids

Receive indications of interest and select second-round parties